MARGARET MUBVUMA
versus
MUCHABVUMA HOUSING COOPERATIVE
and
MAPHIOS MUTONHORI

HIGH COURT OF ZIMBABWE
MAMBARA J
HARARE: 18 and 19 May 2026 and 10 June 2026

Civil Trial

W. Chagwiza, for the plaintiff
G. Ranganayi, for the defendants

MAMBARA J

[1] This is a summons matter. The plaintiff approached this court seeking, in the first instance, an order compelling the defendants to allocate or deliver to her a residential stand in Marondera together with the dwelling promised under the parties' arrangement, and alternatively damages. The claim against the original second defendant was withdrawn after his death. By the time of trial the plaintiff had accepted a replacement stand measuring 200 square metres, and the live dispute had narrowed to whether she remained entitled to the dwelling which formed part of the original bargain or, alternatively, damages quantified at US$10,000; and, if so, whether the third defendant should be held personally liable together with the first defendant.

[2] Although one or two documents in the record use "four roomed house" language, the consistent and operative formulation in the declaration, the oral evidence, the valuation evidence, and the 2025 joint pre-trial minute is that what remained in issue was a three-roomed dwelling or its equivalent value. I shall therefore determine the matter on that footing.

[3] The plaintiff's case, shortly stated, is that in or about 2000 she became a subscribing member of the first defendant cooperative under an oral arrangement in terms of which she would, upon meeting the financial obligations imposed by the cooperative, receive a 300 square metre residential stand with a dwelling erected thereon. She pleaded and testified that

she paid the subscriptions required of her, thereafter paid the once-off sums demanded under phase 2, was expressly linked to stand 3137, and yet was never given that developed stand because it was later allocated to someone else. The stand later accepted by her, stand 7436, measured only 200 square metres and was undeveloped.

[4] The first and third defendants, in their plea, admitted the existence of the original membership relationship but alleged that the position later changed, so that members would receive stands only and not completed dwellings. They denied that the plaintiff had proved the payments alleged by her, contended that she did not raise the money required to take up a dwelling when the offer was made, and denied fraud or recklessness on the part of the third defendant.

[5] The joint pre-trial minute signed in July 2025 is of importance. It records as common cause that, after the June 2020 roundtable, the defendants had allocated a 200 square metre stand to the plaintiff, which she accepted, and that the remaining issues for trial were whether she was entitled to have a three-roomed dwelling constructed for her or alternatively to damages of US$10,000, and whether the third defendant should be made personally liable. That minute accordingly narrowed the suit in a manner binding on the parties.

[6] I turn to the evidence. The plaintiff testified that she joined the cooperative in about 2002, though the broader record places the operative agreement in about 2000, and she explained the arrangement in substance as a turn-key housing arrangement: members paid subscriptions and were in return to receive a 300 square metre stand with a three-roomed dwelling ready for occupation. She produced receipts for the subscriptions she had paid. Her evidence was that she never received the agreed developed stand. Instead, after years of promises and demands, she was eventually given stand 7436 measuring 200 square metres and without a house. She stated that this later stand was merely a replacement for stand 3137, which had earlier been double allocated.

[7] The plaintiff further explained that when phase 1 beneficiaries were required to make a once-off top-up payment of $38,000, she could not raise that amount in time and was accordingly accommodated under phase 2. A questionnaire completed for the cooperative reflects precisely that position: it records that she could not raise the cash difference within two weeks and wished to be accommodated in the next phase. That document is significant

because it demonstrates that the plaintiff was not declining the housing benefit; she was deferring it to the next phase under the cooperative's own arrangements.

[8] The plaintiff's evidence did not end there. She relied upon a handwritten note attributed to the third defendant. That note states, in substance, that following an interview with her in April 2002 the cooperative resolved that a deposit of $60,000 was required before a person could be allocated a stand, records that she had already paid that amount, proudly allocates to her stand No. 3137, and adds that from June 2002 she would be required to pay a further $3,000, being an amount payable by those who had been allocated stands up until they were advised to occupy the house. In my view that note does three things at once: it acknowledges payment of the $60,000; it links the plaintiff to stand 3137; and, most importantly, it speaks in the language of occupation of a house, not mere allocation of bare land.

[9] The plaintiff also explained the absence of one of the larger receipts. While she was in Botswana, her house in Marondera was burnt together with her belongings, and the documents she produced from the local authority were intended to explain how some payment receipts had been lost. I did not understand her to rely on that unfortunate event as a substitute for proof. Rather, she used it to explain why a complete receipt history was not available, while relying on the remaining receipts and, importantly, the third defendant's own allocation note as confirmation that the required payments had in fact been made.

[10] There was then the evidence concerning the cooperative's assets. The plaintiff said the cooperative had acquired identifiable movable and immovable assets for purposes of development and income generation. The "brief background" document in the plaintiff's bundle listed a UD lorry, a tractor, a trailer, a plough, a brick moulding machine, and a 6,000 square metre industrial stand, and further represented that the cooperative had built 27 houses and had paid for 104 stands from council, 87 of which were not yet fully serviced. That document was signed by M. Mutonhori as Secretary General and by L. Chimoka as Treasurer. The plaintiff's complaint was that despite those assets and despite the contributions paid by members, she remained uncompensated and the third defendant could not give an account of what became of the assets.

[11] In cross-examination the plaintiff readily accepted that she was not the only dissatisfied member. She also accepted that the $60,000 she paid was Zimbabwean currency. But she was

firm that at the relevant time the money represented real value, that it was received as such by the cooperative, and that it formed part of the financial basis upon which the cooperative acquired development assets. She repeatedly returned to the central point that the agreement was not for a bare stand. It was for a stand plus a house. She maintained that the 200 square metre undeveloped stand eventually given to her was materially less than what she had paid for and was not a compliant substitute.

[12] On the third defendant's role, the plaintiff's evidence was that he was the Secretary General responsible for the general running of the cooperative, that he received cash from members, and that he effectively determined how it would be used. She said he had failed to perform his duties diligently, had not accounted for the cooperative's assets, and was therefore personally liable. That evidence was not a mere expression of displeasure. It was linked to concrete acts and omissions: the double allocation of stand 3137, the absence of records, and the disappearance or unexplained disposal of cooperative assets.

[13] The defence case rested solely on the evidence of the third defendant, Maphios Mutonhori, both on his own behalf and on behalf of the first defendant. He said the cooperative was registered in 1999, that its objective was to obtain land from Marondera Municipality and build homes for members, and that it was allocated 600 undeveloped stands. He accepted that initially the cooperative's obligation was to build homes for members. His position, however, was that inflation later rendered the original model unworkable, that three meetings were held with members, and that it was resolved that those who had not received developed stands would thereafter receive undeveloped stands instead. Crucially, he could not produce the minutes or resolutions of those meetings.

[14] The third defendant denied knowledge of, or authorship of, the questionnaire, the handwritten allocation note, and other documents in the bundle. He disowned the signatures attributed to him. Yet at the same time he admitted the underlying historical structure of the project, namely that phase 1 beneficiaries had to pay $38,000 and that those who were to benefit under phase 2 had to indicate that on a form provided by the cooperative. He also accepted that only 27 of the 600 stands were eventually developed. I found the repeated blanket disavowal of documents to be a materially poor substitute for producing the

cooperative's own books and records, especially where the documents in dispute cohered with the historical narrative he himself accepted.

[15] On the plaintiff's present position, the third defendant was conspicuously vague. He would not give a clear answer when asked whether the plaintiff had paid money to the cooperative. He refused to comment meaningfully on the circumstances of the allocation of stand 3137. He said only that the late treasurer had, out of goodwill, given her the stand she now holds. That answer did not explain why a member who, on his own version, had long been associated with the cooperative and had not been thrown away, should have needed an act of personal goodwill from the late treasurer. Nor did it explain the written reallocation of stand 7436 as a substitute for stand 3137.

[16] The third defendant further testified that once the cooperative realised that expenditure exceeded income, it bought assets to generate income and help development, but later disposed of those assets to pay off some demands from members and council. Again, there were no board resolutions, minutes, asset disposal records, or member approvals supporting that version. He also claimed that the cooperative was no longer in existence and had been deregistered in or around 2007 or 2008. However, under cross-examination he accepted that he had no proof of deregistration from the Registrar of Cooperatives.

[17] His cross-examination was searching. He was asked to produce the minutes altering the original objective. He could not. He was confronted with the proposition that, as Secretary General, he ought to have had custody of such minutes. He had no satisfactory answer. He was asked to produce the cessions for the 573 members he said had already received stands. He could not. He conceded that the cooperative had bought the assets listed in the background document. He accepted that the 6,000 square metre stand listed as a cooperative asset had first been leased, was later put on sale, and was then bought by the late treasurer; he further accepted that he presently rented the property and that summons in this litigation had been served on his wife there. He could not say whether the members had agreed to the disposal of that stand.

[18] One answer in particular is revealing. When the court asked why the Ministry would write in 2019 to what he said was a deregistered cooperative and instruct it, through ss 114 and 115 of the Act, to allocate the plaintiff a developed house or pay her the equivalent

amount, he had no answer. That inability was not peripheral. It went to the heart of his claim that the cooperative ceased to exist years before.

[19] Before assessing the legal consequences, I must say something about the pleadings and admissions. The declaration pleaded an oral contract beginning around 2000, monthly subscriptions, a promise of a 300 square metre stand with a three-roomed dwelling, later once-off payments of $60,000 and $3,000 in relation to stand 3137, a later double allocation of that stand, and personal liability on the part of the office bearers for fraudulent or reckless conduct. The plea admitted the membership relationship, but contended that the position later changed and members would receive stands only. That later change was a special defence. It therefore called for proof, particularly because it depended on internal corporate or cooperative action.

[20] The defendants' own pre-trial material is inconsistent with the third defendant's attempt at trial to distance himself from the plaintiff's claim. In their pre-trial conference minute, the first and third defendants expressly admitted that the third defendant had written a letter confirming that the plaintiff remained a member and would be allocated a stand with other remaining members as and when land was availed by Marondera Municipality. Their own discovery schedule likewise listed a letter to the plaintiff dated 20 February 2017 and another dated 25 January 2019. Those are not the acts of a cooperative that was dead in 2007 or 2008. They are acts of an existing body still dealing with an unfulfilled obligation to one of its members.

[21] The minute of the 18 June 2020 meeting goes further. At that meeting, attended by the third defendant and both legal practitioners, the third defendant did not say the claim was misconceived because the cooperative was long deregistered or because the plaintiff had never been promised a dwelling. He said the cooperative only got stands from Marondera Municipality, that none were immediately available, and he undertook to secure a stand for the plaintiff at the earliest opportunity. This is entirely consistent with the plaintiff's case that she had an outstanding entitlement, though not necessarily consistent with the defence thesis that she had never been promised a dwelling and had merely failed to raise money.

[22] In addition, the 4 November 2022 reallocation letter is devastating to the defence version. It records, in plain terms, that the plaintiff was being reallocated stand 7436

measuring 200m² prior to her first stand, 3137, which had been "erroneously allocated to someone else." That is an admission from the defendants' side of the very breach which the plaintiff alleged: the double allocation of stand 3137. Once that is accepted, the critical question ceases to be whether the plaintiff suffered a wrong. She plainly did. The questions become the extent of her residual entitlement and the identity of those legally responsible for the residual loss.

[23] I accept the plaintiff as a credible witness on the material aspects of the case. Her version is internally coherent and is substantially corroborated by the documents. The third defendant, by contrast, was evasive on critical points, repeatedly resorted to bare disavowals of documents instead of producing the minute books and resolutions which, on his own case, had to exist, and could not reconcile his story of deregistration with the later conduct of the cooperative and the Ministry's 2019 intervention. Where their versions conflict, I prefer that of the plaintiff.

[24] The first legal question is whether the original arrangement included a dwelling or merely a bare stand. On the papers and evidence, it plainly included a dwelling. The declaration says so. The oral evidence says so. The questionnaire shows that the plaintiff was being rolled from phase 1 to phase 2, not excluded from the housing benefit. The April 2002 handwritten note links her to stand 3137 after payment of $60,000 and speaks of an additional $3,000 payable until she was advised to occupy the house. The valuation report later commissioned in the matter values a three-roomed core house on a stand. The defence's attempt to reduce the promise retrospectively to a bare stand depends entirely on unproduced resolutions and unproved meetings. I therefore find that the original obligation was to deliver a developed residential benefit, not undeveloped land only.

[25] The second question is whether that obligation was lawfully varied for all members. Here the third defendant relied on internal cooperative decision-making. Yet a registered cooperative is a body corporate and, like any artificial entity, acts through the resolutions and procedures prescribed by its constitutive instruments. The plaintiff correctly relied, in written submissions, on the principle stated in *Direct Response Marketing (Pvt) Ltd* v *Shepherd* 1993 (2) ZLR 218 at 221, approving *Male (Cape) (Pty) Ltd* v *Merino Ko-operasie Bpk* 1957 (2) SA 347, that unlike an individual, an artificial person can only function through its agents and

can only take decisions by the passing of resolutions in the manner provided by its constitution. The same basic governance logic appears in the official South African Co-operatives Act, which expressly requires cooperatives to keep minute books, directors' registers, accounting records, and board minutes, and treats signed minutes as proof of what took place. No such records were produced here. I therefore reject the alleged variation.

[26] The third question is whether there was breach. In my view the answer is self-evidently yes. The plaintiff paid the subscriptions and the additional sums required for phase 2. She was linked to stand 3137. That stand was later allocated to someone else. She was eventually given a smaller undeveloped stand instead. That sequence constitutes breach whether one approaches it as failure to perform the original contract, repudiation of the cooperative undertaking, or negligent misadministration of the allocation process.

[27] The next issue concerns remedy. Under Roman-Dutch law, specific performance is a primary remedy, though its grant remains subject to the court's judicial discretion. The plaintiff relied on *Farmers' Co-operative Society (Reg)* v *Berry* 1912 AD 343 and *Minister of Natural Resources* v *FC Hume (Pvt) Ltd* 1989 (3) ZLR 55. The South African authorities to similar effect include *Benson* v *SA Mutual Life Assurance Society* 1986 (1) SA 776 (A), which emphasises the breadth of the court's discretion in granting specific performance, and *Woods* v *Walters 1*921 AD 303, which accepts that damages may be claimed in the alternative.

[28] In the present matter, however, I do not regard an order compelling construction as the most appropriate remedy. The plaintiff has already accepted the replacement stand. The residual claim has been narrowed by agreement to the dwelling or its value. The cooperative's practical capacity to build is uncertain on the record. The matter is old. An order to build would likely require supervision and further disputes over standards, approvals and timelines. This is therefore one of those cases where damages are the more just and efficacious remedy, even though the plaintiff established a breach which in another setting might well have justified specific performance.

[29] The figure of US$10,000 is, in my view, proved. The valuation report in the plaintiff's bundle, dated 27 March 2019, gave an open market value of US$7,000 for a vacant 300 square metre stand and US$17,000 for a three-roomed core house on a 300 square metre stand. The difference is US$10,000. That differential corresponds exactly with the residual claim after the plaintiff accepted the stand and persisted only with the value of the lost superstructure. The 2025 joint pre-trial minute specifically framed the alternative damages issue at US$10,000. I am satisfied that the amount is reasonable and established on a balance of probabilities.

[30] I come then to the critical issue: whether the third defendant should be made personally liable. It is necessary to begin with principle. Separate legal personality remains the point of departure. Since *Salomon* v *A Salomon & Co Ltd* [1897] AC 22, the law has treated a duly constituted corporation as a person distinct from those who manage or own it. Later Commonwealth decisions such as *Adams* v *Cape Industries* plc [1990] Ch 433 and *Prest* v *Petrodel Resources Ltd* [2013 UKSC 34 have reaffirmed that the disregard of separate personality is exceptional and should not become a reflex response to hardship. Prest in particular emphasises that courts should prefer ordinary doctrines where they fit the facts and reserve veil piercing for truly exceptional evasion cases.

[31] But that is not the end of the matter. The same comparative jurisprudence also shows that courts do not need to resort mechanically to veil piercing where liability can instead rest on the defendant's own conduct. *Jones* v *Lipman* remains the classic instance of a court refusing to allow a controller to use a company as a façade to defeat an existing obligation. *Lubbe* v *Cape* plc [2000] UKHL 41 and *Chandler* v *Cape plc* [2012 EWCA Civ 525 further demonstrate that direct responsibility may arise on ordinary tort or delict principles without collapsing the distinction between company and controller. That is a valuable reminder for the present case. The issue is not whether the first defendant lacked personality. It is whether the third defendant's own conduct makes him concurrently accountable.

[32] South African statutory materials point in the same direction. Section 163(4) of the Companies Act 71 of 2008 permits a court, where an interested person shows an unconscionable abuse of the juristic personality of a company, to declare that the company is deemed not to be a juristic person in respect of the relevant rights, obligations or liabilities,

and to make such further order as is fit. The same Act also preserves direct liability of directors under ordinary common-law fiduciary and delictual principles and for knowing participation in unauthorised, reckless or fraudulent corporate acts. Those provisions do not govern this case directly, but they illuminate a broader common-law and mixed-law tradition: separate personality is respected, but it is not an instrument for shielding direct wrongdoing by those in control.

[33] The official South African Co-operatives Act 14 of 2005 reinforces the same governance theme in the cooperative setting. It recognises that a cooperative is a legal person upon registration; it requires the keeping of minutes, members' registers, directors' registers and accounting records; it obliges directors and managers to disclose interests; and it treats failure to keep records as an offence. Again, that legislation is comparative, not controlling, but it powerfully confirms that cooperative governance is not informal or discretionary. It is record-based, accountable and fiduciary in character.

[34] Under Zimbabwean law, the parties were agreed that the first defendant was a registered cooperative and that the relevant Act imposed duties on committee members. The plaintiff's closing submissions set out s 59(1) of the Co-operatives Societies Act [*Chapter 24:05*] in these terms: members of the management committee must discharge their duties diligently and are jointly and severally liable to the society for any loss incurred by the society due to their negligence, default, breach of duty, breach of trust, or actions contrary to the Act, the by-laws, or a direction given by a general meeting. That quotation was central to the plaintiff's case on personal liability.

[35] I do not read s 59(1) as meaning that every disappointed member may, without more, recover directly from every committee member. Its text is directed to liability "to the society." But I equally do not read it as conferring immunity on delinquent office bearers whenever the society itself is moribund, under their control, or joined as a co-defendant. The section is, at the very least, a clear statutory statement that management committee members in a registered society do not enjoy a blanket shield where loss is caused by their negligence, default, breach of duty or breach of trust. On the facts of this case, that statutory policy aligns with the common law and should be given real effect.

[36] Three features persuade me that personal liability is justified here. First, the third defendant was not a distant committee member. He was the Secretary General, the operative office bearer, the person who, on the plaintiff's evidence, received cash and managed affairs, and the only surviving committee member who came to court to explain the cooperative's conduct. Secondly, the breach itself bears the marks of negligent or reckless administration for which he was directly responsible: the plaintiff was linked to stand 3137 after payment, yet that stand was later allocated to someone else; there is no lawful resolution shown to have varied her entitlement; and the later "solution" was a smaller undeveloped stand. Thirdly, he could not account for the cooperative's governance records or assets. He produced no minute books, no resolutions, no cessions, no disposal approvals, and no proof of deregistration, while at the same time he acknowledged that the cooperative had owned significant assets and that the 6,000 square metre stand had ended up in the late treasurer's hands and was being rented by him.

[37] In those circumstances, this is not a case in which the court is being asked to impose personal liability merely because the cooperative failed. It is a case in which the third defendant's own conduct, omissions and lack of accountability form part of the wrongful matrix that caused the plaintiff's loss. I am therefore satisfied that he should be held jointly and severally liable with the first defendant. If one prefers the language of direct wrongdoing, the conclusion is justified. If one prefers the language of statutory accountability under s 59(1), purposively read together with the common law, the conclusion is likewise justified. If one prefers the language of abuse of separate personality, this record comes close enough to that category to defeat any plea for corporate shelter. On any of those routes, the result is the same.

[38] I should add that the Ministry's 6 February 2019 letter does not itself create the plaintiff's contractual cause of action. That cause of action arises from the agreement and its breach. But the Ministry letter is still important. It shows that the dispute had already reached official intervention under the cooperative legislation; it shows that the official direction was to allocate the plaintiff a developed house or pay the equivalent amount; and it strongly undermines the defence theory that the cooperative had ceased to exist long before. As evidence, it fits comfortably into the plaintiff's version and not into that of the third defendant.

[39] For all these reasons, the plaintiff has succeeded. The proper order is one for payment of US$10,000, jointly and severally by the first and third defendants, together with interest at the prescribed rate from the date of summons to date of payment in full, and costs on the ordinary scale. That relief gives effect to the narrowed dispute as eventually formulated by the parties and avoids the practical difficulties inherent in a coercive building order at this late stage.

[40] In the result, it is ordered that:

1. The first and third defendants shall pay to the plaintiff, jointly and severally, the one paying the other to be absolved, the sum of US$10,000.00.
2. The aforesaid sum shall carry interest at the prescribed rate from the date of summons to the date of payment in full.
3. The defendants shall pay the plaintiff's costs of suit on the ordinary scale, jointly and severally, the one paying the other to be absolved.

MAMBARA J……

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